| Year | Price range of bonds | Price range of stock | Prevailing conversion price | Times interest earned | Earned per share on common |
|---|---|---|---|---|---|
| 1925 | | | | 1.73* | $0.78* |
| 1926 | | | | 2.52* | 1.84* |
| 1927 | | | | 2.80* | 2.20* |
| 1928 | 100 −97 1/2 | 35 7/8−30 | $37.03 | 1.69† | 1.95 |
| 1929 | 99 −50 | 34 5/8− 5 | 37.03 | 1.86† | 1.04 |
| 1930 | 42 −10 | 6 3/8− 1/2 | 37.03−$40 | 0.09† | *1.68(d)* |
| 1931 | 10 1/2 − 5 | 1 | 40.00 | Receivership | |

* Predecessor enterprise. Pre-share figures are after estimating federal taxes.
† Actual earnings for last 10 months of 1928 and succeeding calendar years.

Receivers were appointed in June 1931. The properties were sold in August of that year, and bondholders later received about 8 1/2 cents on the dollar.

**Principle Derived.** From these contrasting instances an investment principle may be developed that should afford a valuable guide to the selection of privileged senior issues. The principle is as follows: *A privileged senior issue, selling close to or above face value, must meet the requirements either of a straight fixed-value investment or of a straight common-stock speculation, and it must be bought with one or the other qualification clearly in view.*

The alternative given supplies two different approaches to the purchase of a privileged security. It may be bought as a sound investment with an *incidental* chance of profit through an enhancement of principal, or it may be bought *primarily* as an attractive form of speculation in the common stock. Generally speaking, there should be no middle ground. The *investor* interested in safety of principal should not abate his requirements in return for a conversion privilege; the *speculator* should not be attracted to an enterprise of mediocre promise because of the pseudo-security provided by the bond contract.

Our opposition to any compromise between the purely investment and the admittedly speculative attitude is based primarily on subjective grounds. Where an intermediate stand is taken, the result is usually confusion, clouded thinking, and self-deception. The investor who relaxes his safety requirements to obtain a profit-sharing privilege is frequently